Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid activity carried by the marketing functional area at *Premier Inn* in the context of the business. • To decide the prices of the hotel rooms so that visitors would consider staying at the hotel **(1)** • To advertise the hotels to encourage visitors to book rooms at *Premier Inn* hotels **(1)** **NB** Do not accept an activity that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *Premier Inn* uses seasonal employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Premier Inn* uses seasonal employees in the context of the business. • Enables the hotel to continue working when there is an increase in demand for rooms during the summer holidays **(1)** • Students with their long holidays can be employed as full-time employees, such as waiters and housemaids **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why a business would use robotics in its production. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why a business would use robotics in its production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using robots in the production process reduces production errors **(1)** as robots can be programmed to do the same thing time after time **(1)** products can be made with greater consistency/higher quality **(1)** • Using robotics in the production process increases the number of goods produced **(1)** reducing the cost of production **(1)** leading to the possibility of greater profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business would use robotics in its production, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why a business might use sponsorship. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why business might use sponsorship, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business sponsored an event the business would gain publicity **(1)** this would mean the business would raise awareness in a wide range of people **(1)** which may attract new customers **(1)** • The business would gain brand awareness from any sponsorship **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why a business might use sponsorship to promote itself, with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** advantage for a country of being in a trading bloc. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for an advantage for a country being in a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Businesses within a country can trade with no tariff barriers **(1)** This means that there will be no additional costs involved **(1)** therefore prices could be lower **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with no trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages why a business is in a trading bloc, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	**Option 1:** competition pricing **Option 2:** promotional pricing. Justify which **one** of these two options *Premier Inn* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Premier Inn* will match the price of competitors for its rooms • **Option 2** – *Premier Inn* could offer a discount on the price of a 3-night stay at the hotel **AO3** • **Option 1** – Customers could be tempted to book with *Premier Inn* because the price is similar or slightly lower than its competitors • **Option 2** – The lower price could mean that they get more bookings which means revenue for the business **AO4** • **Option 1** – However, there is no guarantee that customers will book with *Premier Inn* as they may prefer the facilities at another hotel • **Option 2** – However, even though the bookings may be higher there is no guarantee that the profit will be same or higher	**(9)**

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Trading blocs and tariffs

Answer 1 of 6 · Question 2 part e · 3 marks

2024 NOV · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **net cash flow.** **Answer**	Mark

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 1 of 8 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 2 of 8 · find part c in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 3 of 8 · find part c in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 4 of 8 · find part c in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 5 of 8 · find part c in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 6 of 8 · find part c in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 7 of 8 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Trading blocs and tariffs

Answer 2 of 6 · Question 1 part c · 1 mark

2023 NOV · Paper 02 · extract 8 of 8 · find part c in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	Mark

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Current liability** **A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months **C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months **D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months	**(1)**

Question Number	Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A – Skimming** **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price **D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product	**(1)**

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a role of the human resources department? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Recruiting employees** **A** – Reducing costs - this is not correct because it is the role of finance **B** – Designing products- this is not correct because it is the role of production **C** – Customer Service - this is not correct because it is the role of marketing	**(1)**

Question Number	Which **one** of the following is a benefit to a shareholder of having limited liability? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Own possessions are not at risk** **A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company **B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier **D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees	**(1)**

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is the break-even level of output? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is B - 350** **A** – 280 - this is not correct because it is the fixed costs **C** – 420 - this is not correct because it is the fixed costs multiplied by revenue **D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs	**(1)**

Question Number	Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of €43 765** **A** – It made a loss of €88 400 - this is not correct because it is the total costs **B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165 **D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc**. • A group of countries that work together to benefit from trade free of barriers **(1)**	**(1)**

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job production**. • The one-off production of a customised product to meet a customers' specific needs **(1)**	**(1)**

Question Number	State **one** reason why *Four Fitness* would pay its employees more than the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage. • Its gym instructors are highly qualified and skilled **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working. **Answer**	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 175 – 12.25 = 162.75 **(2)** 35 x 5 = 175 **(1)** 175 x 0.07 = 12.25 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** impact to a business of providing fringe benefits to employees. **Answer**	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the effectiveness of the wide span of control used by Gianni Polvani. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Gianni will be able to empower his employees directly within the gym as there are no layers between him and them • 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run **AO3** • Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym • He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision	**(6)**

Type MS · Trading blocs and tariffs

Answer 3 of 6 · Question 1 part b · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** factor *Four Fitness* may consider when choosing a location for its new gym. **Answer**	Mark

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 7 · find part c in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a non-financial objective *Jimmy Choo* might have in the context of the business. • *Jimmy Choo* might want a social objective of being able to support a local charity near to its shops by giving unsold shoes to local charities **(1)** • *Jimmy Choo* wants to remain independent and in control of how its shoe shops are run **(1)** **NB** Do not accept a non-financial objective that is not in the context of *Jimmy Choo*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* complies with health and safety laws. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy Choo* complies with health and safety laws in the context of the business. • *Jimmy Choo* complies with the laws so that all the employees feel safe whilst working in its shoe factories **(1)** • All employees in the maintenance of the shoe factory should be trained and wear protective clothing to reduce the risk of accidents when working on sewing machines **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* Accept any appropriate response	**(1)**

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 7 · find part c in this mark scheme extract

Q. No.	Explain **one** advantage to a country of being a member of a trading bloc. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for an advantage to a country being a member of a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Being a member of a trading bloc gives access to other markets within the trading bloc. **(1)** This means that prices between the countries will be competitive **(1)** as there will be no additional costs involved **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with limited trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a country being a member of a trading bloc, with no explanation will get a maximum of 1 mark. Accept any appropriate response.	**(3)**

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 7 · find part c in this mark scheme extract

Q. No.	Explain one way businesses support employees with disabilities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one way businesses support employees with disabilities, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Businesses aim to ensure that they do not discriminate against disabled employees **(1)** employing a person who has limited mobility **(1)** means that the business may have to make reasonable adjustments to the premises **(1)** • If an employee has a disability, this should not affect their promotion prospects **(1)** if they apply for an internal promotion **(1)** so that they are treated the same as the other candidates **(1)** **NB** No marks are awarded for a definition. Answers that list three ways with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** impact on a business of an increase in interest rates. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for one impact on a business of an increase in interest rates plus 2 further marks for explaining why, for a maximum of 3 marks. • An increase in interest rates could lead to an increase in financing costs for a business. **(1)** This could lead to a reduction in profits **(1)** and affect the growth/expansion of a business **(1)** • An increase in interest rates may mean customers have less money to spend **(1)** this may mean that they will only buy the essentials they need **(1)** and a business may see a reduction in its revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three impacts on a business of an increase in interest rates with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 7 · find part c in this mark scheme extract

Q. No.	**Option 1:** casual employees **Option 2:** part-time employees. Justify which **one** of these two options *Jimmy Choo* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Some employees like the option of being 'on call' to work when there is an emergency or they are short of employees for the production of handbags • **Option 2** – College or University students wanting to work during the summer holidays, producing clothes they like to wear would be grateful for the opportunity to work **AO3** • **Option 1** – This means that they do not have a full-time job and can do other tasks like looking after their children or family members • **Option 2** – This means that *Jimmy Choo* can employ workers for a certain period of time without the commitment of full-time permanent contract **AO4** • **Option 1** – However, casual employees do not get any guarantee of work from *Jimmy Choo* and this may make them lack commitment to do their work when they are employed • **Option 2** – However, there is no guarantee that the part-time employees can work the hours or have the skills that *Jimmy Choo* needs	**(9)**

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Trading blocs and tariffs

Answer 4 of 6 · Question 2 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 7 of 7 · find part c in this mark scheme extract

Q. No.	Define the term **person specification.** **Answer**	Mark

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response.**	**(1)**

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Trading blocs and tariffs

Answer 5 of 6 · Question 2 part d · 3 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term **share capital.** **Answer**	Mark

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	Mark
2 (c)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	Mark
2 (d)	**A01 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

12

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**AO1 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

13

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

14

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

15

Type MS · Trading blocs and tariffs

Answer 6 of 6 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark